

I Squared Seeds \$1B Data Center Platform with \$225M Cogent Portfolio Buy

\$225 m

Transaction value

On May 28, I Squared Capital signed a definitive purchase and sale agreement to acquire 10 data center facilities from Cogent Fiber, a wholly owned subsidiary of Cogent...

The clean read

- On May 28, I Squared Capital signed a definitive purchase and sale agreement to acquire 10...
- Cogent Communications, primarily a fiber and internet connectivity provider, is shedding...
- The installed capacity provides immediate revenue while the 259,000 square feet of...

The numbers tell the story

\$225 m

Transaction value

\$1 b

Transaction value

\$4.25 m

Transaction value

This is a capital stack story

markets and includes approximately 53 megawatts of installed power capacity and 259,000 square feet of available colocation space.

- These are secondary and tertiary markets where power availability and land costs remain favorable...
- The \$1 billion commitment signals that I Squared sees a structural supply gap in mid-market...

Who is moving the market

- On May: central to the transaction.
- Squared Capital: central to the transaction.
- Cogent Communications: central to the transaction.

Where the deal can break

- The deal structure is straightforward: a cash acquisition of an operating portfolio with a...
- I Squared is deploying institutional infrastructure capital into a sector where demand...
- This transaction reflects a broader market dynamic: capital is rotating from office and retail...

What lenders and investors notice

\$1 b

Transaction value

\$4.25 m

Transaction value

\$10 m

Transaction value

The broader implication

These are secondary and tertiary markets where power availability and land costs remain favorable relative to Northern Virginia or Silicon Valley.

- The \$1 billion commitment signals that I Squared sees a structural supply gap in mid-market...
- The nine-market footprint gives I Squared a platform to serve that demand.

The question is whether the \$1 billion commitment is enough to build a competitive national...

The headline is the transaction. The story is the structure.

If the capital stack works, the deal becomes a signal. If it does not, it becomes a warning.

LIGHT TOWER GROUP

Debt & Equity Placement